

Your company's unit economics will completely break down. In such a situation, you will be facing numerous problems:



Your business will not survive the entire period.



Your reputation as a founder will also be impacted.

Therefore, it is extremely necessary to know all the costs in detail (cost of major raw materials and assets) before creating the financial projections.

CREATE A MONTHLY PLAN DO NOT CREATE A YEARLY PLAN

This is because you cannot forecast what will happen in the coming 5 to 6 years for a startup. Simply focus on the next 12 to 18 months of projections. Having really long projections period will be a wasted effort at this stage as you do not have relevant data to create the same.

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